



Country Compliance Report:

Japan

Information class: Restricted



Country Compliance Report: Japan

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Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

The information provided by Deloitte which is part of this material was solely prepared as general information. It was prepared to meet with specific requirements and was not prepared for any other purposes or objectives. Changes in conditions over time may affect the contents of the material and its content. We do not express any opinion or conclusion in this material.



1. Terminology

This section outlines general and country-specific terminology for Japan, which will be used throughout the whole document.

Term	Explanation
Auditability	Refers to the ability of an auditor to achieve a comprehensive examination of the financial records and financial statements of a client
B2B	Business-to-Business is a transaction or business conducted between one business and another, such as a wholesaler and retailer
B2G	Business-to-Government refers to the business relationship a company selling products, services or information to governments or government agencies
Consumption Tax	Value Added Tax, VAT
Commercial invoice	Is a type of export/import documentation signed between the seller (exporter) and the customer (importer). The commercial invoice contains the information about goods, their amount and value, and serves as a bill of sale between the seller and the buyer. It can be used as a Purchase invoice by the buyer, or as a sales invoice by the supplier.
EIPA	E-invoicing Promotion Association.
Export invoice	An export invoice an umbrella term that encompasses exporting forms like the Commercial Invoice and the Proforma Invoice - forms that indicate the buyer and seller of the goods, a description of the items, and can depict the purchased items' value, and the terms (or proposed terms) of the sale



2. General overview

This section provides an initial introduction into the local e-Invoicing environment within Japan, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• National Tax Agency Japan (NTA) • Ministry of Finance • E-invoice Promotion Association (EIPA) • Digital Agency (デジタル庁) • Digital Architecture Design Centre (IPA)
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• Consumption Tax Law • Electronic Record Retention Law (ERRL) • Corporate Income Tax Law



3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed
Varying invoicing regimes¹	• Nationwide regime for invoicing
e-Invoicing model	• Post-Audit
e-Invoice definition²	• There is no specific definition of an e-invoice under Japanese laws, but for the purposes of this report, we used the word "e-Invoice" to refer to invoices provided or received in a structured electronic format
Scope of taxpayers the e-document mandate applies to	• The issuer: No explicit requirements • The buyer: No explicit requirements
Mandatory AoR (document response) process	• No explicit requirements
Implementation / roll-out plan	• N.a

A new invoicing system called “Qualified Invoice System” (see [section 11](#)) will enter into force on 1 October 2023. The new invoicing system will allow taxpayers to claim the JCT input credit from JCT registered vendors (similarly to a VAT invoicing system). Vendors intending to issue qualified invoices will have to register in the local tax offices starting from 1 October 2021 and no later than 31 March 2023. This deadline has been extended to 30 September 2023 for suppliers who wish to issue Qualified invoices from 1 October 2023 more information can be found [here](#).

¹ It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others

² Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law



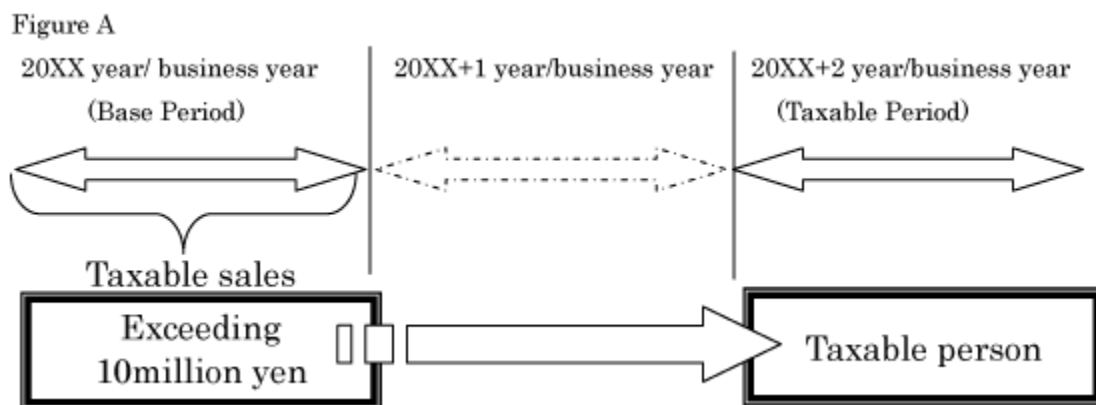
4. Before switching to e-invoices

4.1. IT³ registration

Businesses that exceed 10 million yen (JPY) in taxable goods in the base period or the specified period automatically becomes a taxpayer (See picture below).

The following thresholds apply to the requirement to be registered for a CT (Consumption Tax) number in Japan:

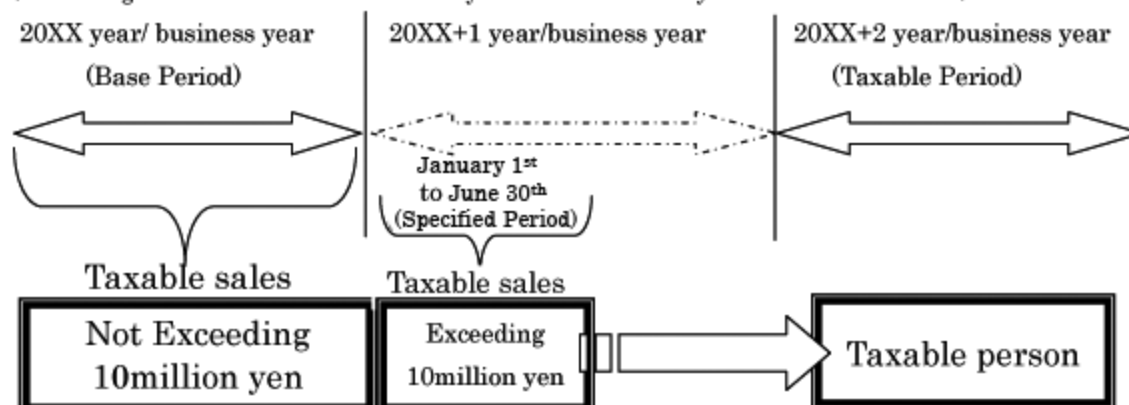
- Exemption for small businesses –JPY 10 000 000 (EUR 77 500) if its taxable sales in the Base Period for the Taxable Period are equal to or less than JPY 10 million (Bellow description of Base period).



³ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

Figure B

(Assuming a business sets its business year is from January 1st to December 31st)



It is possible to voluntarily register to become a taxpayer upon filing of a request to the local Tax Authority. The same applies for overseas companies, however, they are required to appoint a fiscal tax representative. Only taxable businesses will be able to register as Qualified Invoice Issuers.

CT number format: WS-XX-99999-99

Please note that the thresholds stated above are not an exhaustive list of circumstances requiring local IT registration.

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	Not explicitly required
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	Not required. However, prior notification to customers may be, in practice, necessary
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	Not explicitly required

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements.

However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	Allowed
Whether statement of outsourced issuance is required on the invoice	Not explicitly required
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	Not explicitly required (However Pager strongly recommends)
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	Not explicitly required
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	Not explicitly required
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	Not explicitly required

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Japan has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).



5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	B2G/B2B
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• No current regulations
Other document format(s) commonly used for exchange between trading parties	• Paper, PDF, EDI, Peppol JP PINT.
Mandated platform(s) required to have connection with for e-document processing	• No explicit requirements
Other platform(s) relevant for e-document processing	• N.a.
Schematron(s), XSD schema or other official mechanisms ensuring document content	• N.a.
Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	• N.a.
Other technical aspects	• N.a.

5.2. Communication with Hub

Regulations in Japan do not foresee any mandatory infrastructure for e-document process and exchange. Therefore,

Communication options	Commentary
Automated	• N.a.

Manual	• N.a.
Other options	• N.a.

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

As opposed to some other jurisdictions, the requirements of an invoice Japan are far less stringent. The Japanese government has not provided set standard requirements or a particular structure that needs to be adhered to. As such, businesses generally follow their own particular format.

Overall order to cash and purchase to pay invoicing possibilities

- (1) Documents can be exchanged with your suppliers and customers in various formats and via various exchange mechanisms.
- (2) The key requirements are to ensure the country-specific document content, document integrity and authenticity, as well as archiving requirements
- (3) Neither document format nor exchange mechanism are regulated

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices.

Sales invoices are necessary for customs clearance for the exportation of goods, there are no specific requirements on the invoices content; rather a simple description, quantity, and value should be expressed on the invoice for the goods to be exported.

A sales e-invoice can be issued to the foreign receiver, but a human readable presentation maybe be required by the Japanese customs officer.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

Documents are exchanged with your suppliers and customers in various formats and via various exchange mechanisms.

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices

An Invoice is a document describing the name, quantity, and value of the goods, and is prepared in the shipping country of the goods. In case of electronic trading e.g. EDI or e-mail, the transaction information must be described such as, transferred goods that are typically described in the purchase order.

5.5. AoR (response) process

Japan has no explicit requirement that the Buyer must provide to the Supplier confirmation / notification that an e-invoice has been received or approved.

5.6. Hub validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. However, regulations in Japan do not foresee any central mandatory infrastructure for e-document process and exchange.

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

There are no requirements for invoice copies to have any particular wording to differentiate it from the original, but it is recommended.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds "Copy Tax Invoice" on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer. The distribution is not regulated for B2B e-invoices neither for B2G e-invoices in Japan.

Item	Commentary
Push communication	Not explicitly regulated

Pull communication	• Not explicitly regulated
Paper	• Allowed
E-mail distribution	• Allowed
Webportal	• Allowed

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

Credit notes and other rectification documents do not have any specific requirements as long as they have a reference to the original invoice from which changes have been made/updated.

From October 1, 2023, if a supplier receives the return of goods or gives an allowance or discount/rebate with respect to its taxable sales, the supplier as a qualified invoice issuer will be required to issue a qualified refund invoice with certain items for such transactions.

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• There is no specific treatment under the current laws. To correct the original invoice, it is allowed to issue a Credit note, Debit note and Corrective invoice for JCT purposes, provided such document clarifies the association with the original invoice (e.g., indication of reference of original invoice number).
What are the options to correct an invoice if the customer returns the goods	• Credit note • The debit note issued by the recipient has to fulfil the conditions in Connection with self-billing
What are the options to correct an invoice if the customer paid too much	• In case that the customer paid too much erroneously the overpayment has to be paid back to the customer and no invoice correction is necessary. Otherwise, the supplier has to correct the invoice with a credit note and a new invoice or with a corrective document.
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• Credit note • Please note that there is no need to issue a credit note when the discount is granted because the payment has been made within a certain agreed deadline, we refer to the so-called "cash discounts"

What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• Corrective document (with a reference to the respective invoice)
Other scenarios with different correction option	• No
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)	• Supplier
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document	• N.a.

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• There are no specific requirements, however, is recommended to be avoided
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	• Allowed
Whether any conditions apply, and which, to the dematerialisation	• Prior application required. However, from 1 January 2022, JCT payers are waived to apply to tax authorities to save paper invoices electronically. • It is principally allowed to store only the scanned invoices with destruction of the original paper purchase invoice. • The scanner storage systems for documents related to ERRL must satisfy all the requirements below (Digital documents created through conversion of paper documents into electronic form by scanner or any device with a digitization function, e.g., smartphone or digital camera. ○ Ensure integrity and authenticity ○ "Date", "Amount" and "Business Partner" can be set as search criteria ○ Data can be downloaded based on the request from the tax officer ○ The scanner needs to fulfil the requirements (ERRL Section 6, 2-B)

Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	• No • From 1 January 2024, for transaction information that is sent and received electronically, the preservation is required in the form of electromagnetic records (i.e., electronic data).
Whether any conditions apply, and which, to the materialisation	• N.a.

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

There are no specific prescriptions in this respect in Japan.



6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Complete invoice • Credit note
Documents mandatory for issuance by buyer	• Not explicit requirement

Item	Commentary
Self-billing allowed	• No
Simplified invoice allowed	• No

From October 1, 2023, in addition to Complete invoices, issuance of simplified invoices will be allowed for taxpayers engaged in B2C transactions such as retail, restaurant, etc.

Under simplified invoices, the name of recipient can be omitted, and either the amount of JCT or the applicable JCT rate can be omitted too.

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes
Different series of sequential numbers allowed (e.g. a separate sequential	• Yes

numbering for intercompany billings, credit notes, etc.)	
Allowed to start a new sequential numbering every year	• Yes
Worldwide numbering on legal entity level allowed provided that gaps can be explained	• No, numbering required per registration
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• Yes

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

It is not applicable to Japan.

6.3. Indirect tax (IT)⁴ rates

This section illustrates the applied IT⁵ rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
10%	Standard	All other taxable goods and services.
8%	Reduced	Food & drinks (excluding alcohol and dining out), newspaper subscriptions (issued twice per week minimum). Certain supplies such as construction contracts and property leases, based on engagements that were enacted before the tax rate change (October 2019).
0%	Zero	Exports of goods, exports of services, international transportation of passengers and cargo, sales in export shops, supplies to foreign embassies and legations situated in Japan
	Exempt	Bank interest, insurance, educational services, sales and leases of land, social welfare services.

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Japan. Please note

⁴ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

⁵ Local name [Consumption Tax]

that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	No, but recommended
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	No
Sequential numbering	Yes, see section 6.2.1 above
Required to mention copy or duplicate in case a copy is issued	No, but recommended
Reference in case of outsourced issuance	No

Supplier data	
Full legal name of the supplier	Yes
Allowed to abbreviate or shorten the legal name of the supplier	Yes, provided the full legal name is mentioned as well
Full address of the supplier in country of establishment	Yes
Allowed to mention the PO box address instead of the legal address of the supplier	No
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	No
IT identification number of the supplier in the country of establishment	No
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	No
Legal form of the supplier	Yes
Trade register number of the supplier	No
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	Yes
Place of legal seat of the supplier (Headquarters)	No
Other supplier data	From October 2023, a registration number (See section 11.3) is required in a qualified invoice.

Customer data	
Full legal name of the customer	Yes

Allowed to abbreviate or shorten the legal name of the customer	• Yes, provided the full legal name is mentioned as well
Address of the customer in country of establishment	• Yes
Bill-to address when it is different from the registered address of the customer	• No
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• No
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• No
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• No
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• No
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• No
Other customer data	• No

Transaction data	
Date of issue	• Yes
Date of supply (chargeable event)	• Only if it differs from the invoice date. In that case, following notation has to be mentioned: "Invoice date is the date of supply/service."
Date of prepayment	• No
Description of the goods/services	• Yes • Separate identification required for transactions subject to the reduced rates
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No
Shipped from location (for the supply of goods)	• No, but recommended • Especially in case of cross-border transactions
Shipped to location (for the supply of goods)	• No, but recommended • Especially in case of cross-border transactions

Status of the goods (e.g. in bond, in free circulation)	- No, but recommended - Especially in case of cross-border transactions
Incoterms	- No, but recommended - Especially in case of cross-border transactions
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	No

Financial data	
Taxable base per item (unit price excl. IT)	Yes
Total taxable base per IT rate or exemption	- Yes - Under the current laws, amount of consideration including JCT shown by the different applicable JCT rate on an invoice. From 1 October 2023, the following items should be shown on a qualified invoice. - amount of consideration (including or excluding JCT) in total by the different applicable JCT rate and JCT rate; and - amount of JCT in total by the different applicable JCT rate
IT rate applied	- Yes. Separate identification required for transactions with reduced JCT rates - From October 2023, applicable JCT rate required
Total IT amount calculated per rate	No. However, it is mandatory from 1 October 2023 for qualified invoices
Total IT amount payable	No
Discounts/rebates if not included in the unit price	Yes
Total gross amount (including IT)	- Yes - Total gross amount shown by the different applicable JCT rate is required
Mandatory to mention the total IT amount due in the national currency	Yes, if an invoice is issued in a foreign currency, the values must be converted to Japanese yen (JPY)
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	Amount totals i.e. Total IT and Total invoice amount payable
Exchange rate (if the invoice is not issued in the local currency)	In case of an invoice in a foreign currency, for IT purposes, the value will be converted to JPY based on the market rate (T.T.M.):

	Telegram Transfer Middle Rate) on the date of the transfer of assets etc.
Which exchange rate must be applied in order of priority	No explicit requirements
Terms of payment	No, but recommended
IBAN and BIC number of supplier	No, but recommended

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	Yes
List the required references in case of exemption or reverse charge	- For transactions subject to reverse charge mechanism (cross border B2B digital services), should be indicated on the invoice. - Recommended to put on the invoice "subject to reverse charge"
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - "supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	N.a.
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	N.a.
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	N.a.
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	N.a.
Specific references required in case invoicing is outsourced	Not explicitly required
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	N.a.
Other specific requirements/references to be mentioned on an invoice	No

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoices are not allowed in Japan for B2B transactions. The issuance of a simplified invoice is allowed for taxpayers related to consumer business, for instance retail, carting, and rental business.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	No
Maximum amount for simplified invoices	N.a.
Other supplies for which a simplified invoice can be issued	N.a.
Simplified invoices limited to certain type of supplies	N.a.
Simplified invoices not allowed for certain transactions	N.a.
Minimum content requirements on a simplified invoice	N.a.
Invoices subject to the national invoice requirements (not self-bills)	N.a.
(other) Invoices subject to the national invoice requirements (not self-bills)	N.a.

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Japan, a credit note must be issued as rectification documents. A credit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	No
Reference to original invoice required on a credit note	Yes, invoice number and date
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	No, but recommended
Reason for credit required	No, but recommended

Sequential numbering	
Separate sequential credit note numbering required	• No
Allowed to issue one credit note to correct different invoices	• Yes • Reference to the respective invoices (invoice number)

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Qualified invoice for return

From 1 October 2023, a registered JCT payer needs to issue a qualified invoice for return when the business has an allowance or return sales.

A qualified invoice for return requires contents including:

- Name of Supplier
- Supplier's Registration number for Qualified Invoice purpose
- Date of allowance or sales return
- Date of taxable transaction for returned sales
- Description of taxable transaction returned. If the taxable transaction is subject to the reduced tax rate, a statement clarifying this must be included.
- Taxable amount of allowance or sales return per tax rate
- Tax amount per tax rate (expressed in JPY) or Tax rate

6.8. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

Not explicitly regulated in Japan.



7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuing I&A are provisioned for	• Invoices which are electronically archived must either: A. add a timestamp⁶ promptly after the invoice is received and ensure to record the name of the person who adds the timestamp (or a person who supervises him/her), or B. develop and retain policies and procedures to prevent the data from being changed/edited without valid reasons⁷; • Maintain a computer, software program, monitor, printer and their user guides/system specifications, and ensure that electronic data can be orderly and clearly displayed / printed out on a screen or on a paper • Ensure that invoices can be searched by date of transaction, amount and name of counterparty, etc.; • Retain the information regarding the resolution and colour tone of the scanned image; and ensure that the information included in the scanned documents can be traced back to the related entries in accounting books.	
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• No explicit requirements	• No explicit requirements

⁶ Only [accredited](#) timestamping service providers can provide timestamps in Japan.

⁷ Pagero fulfills the requirements for criteria B

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• Not explicitly regulated
Automated e-signing	• N.a.
Time-stamping of e-signature	• N.a.

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• N.a.
Time-stamping of validation data	• N.a.



8. Document retention

This section describes archiving requirements regarding the e-Invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Complete invoice with signature including certificate or other I&A evidence as appropriate • If a Storage and Maintenance Guideline has been created, this must be stored in the archive together with the invoices
Requirements to present stored documents in a specific audit format	• Paper or electronically • Transaction information that is sent and received electronically on or after 1 January 2024, only can be archived electronically.
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• If the original invoice is in a machine-readable format, the taxable person must offer means to provide human-readability
Retention period for invoices not related to immovable property⁸	• 7 years. 10 years for years in which a loss was incurred.
Start point of retention period calculation for invoices not related to immovable property	• From the day two months after the end of the taxable period to which the invoice belongs or from the date of receipt to the taxpayer or taxpayer's office
Retention period for e- invoices related to immovable property	• N.a.
Start point of retention period calculation for invoices related to immovable property	• N.a.

⁸ Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Retention period for other than regular invoices or invoices related to immovable property (if existing):	• N.a.
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• N.a.
Outsourced archiving	• Allowed
Archiving abroad⁹ and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)	• Not explicitly required
Other requirements in relation to electronic document retention	• Paper invoices can be archived by scanning without prior approval from the Tax Office from January 2022. However, certain requirements for the scanning machine shall be followed. • Necessary requirements for electronic archiving (both scanned documents and structured format) are: • Ability to track corrections and deletions • Cross-referencing between related records • Ensuring readability of records • Ability to search records via ○ Year ○ Month ○ Date of transaction ○ Transaction amount, and ○ Counterparties • Timestamping of records • Presence of internal controls

⁹ In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.



9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• Yes, see section 6.6 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• No explicit requirements
Transportation documents	• No explicit requirements
Other	• No explicit requirements



10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Public procurement

In Japan, the Government is working on promoting online administrative procedures. Businesses can find public procurement information from the [e-Gov Portal](#) managed by the Digital Agency.

10.2. Indirect tax reports

Japan does not have any form of e-reporting like SAF-T.

Taxpayers can [apply](#) for [e-filing](#). However, for Japanese corporations whose amount of capital exceeds JPY100 million, insurance companies or other [certain corporations](#) are mandatory to file the tax return electronically.

10.3. EIPA and Peppol

EIPA (E-Invoice Promotion Association) aims to enable taxpayers to use software that supports issuing and exchanging qualified electronic invoices. The Association is a strong advocate for Japan to adopt the Peppol standards.

Japan's Digital Agency contributes to reforming the administration culture in a user-driven manner through digitalization and has since 14 September 2021, officially obtained Authority statuses. Japan is the first country to adopt Peppol PINT, and the Peppol BIS Standard Invoice JP PINT production version was released on 28 October 2022.

Pagero is an EIPA member and is acknowledged by the Japan Peppol Authority as the accredited service provider in Japan.



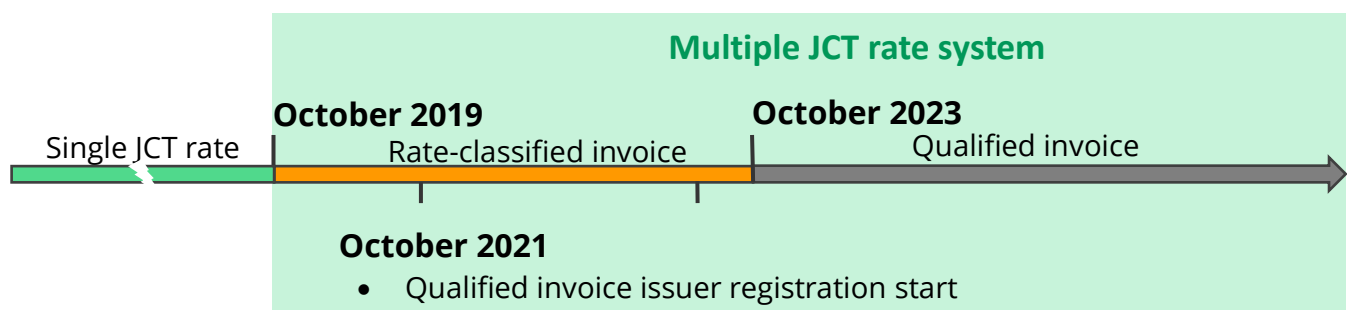
11. Qualified invoice system

11.1. Background

Currently, the Japanese invoicing system does not require taxpayers to state Japanese consumption tax (JCT) on their invoices, which means the taxpayer is not obliged to calculate the JCT input amount. The JCT input amount is determined according to an accounting book and records.

It was practical when there was a single VAT rate in Japan. However, from 1 October 2019, Japan applied a multiple JCT rate system. As in section 6.3, there is a Standard rate of 10%, a Reduced rate of 8%, and a 0% rate. It is hard for a JCT payer to differentiate the tax rate. Therefore, the government has to introduce the Qualified invoice system (適格請求書発行制度) in order to reflect the corresponding rate on an invoice.

A rate-classified invoice system is temporarily applied in the transition period (1 October 2019 to 30 September 2023). As of 1 October 2023, taxpayers are required to issue qualified invoices, i.e., state correct JCTs, as registered issuers.



11.2. Qualified invoice system implementations

In the current system, taxpayers can still use the 'classified invoice storage method' (区分記載請求書等保存方式) to deduct purchase tax credit¹⁰ even the invoices they receive are

¹⁰ Consumption tax can be deducted when reporting consumption tax.

not classified invoices. However, from October 2023, taxpayers cannot claim VAT deductions from invoices that do not fulfill the requirements of qualified invoices.

Under the qualified invoice system, only taxable businesses can issue qualified invoices, which means exempt companies cannot register as qualified invoice issuers unless they become taxable businesses. It is expected that more companies will register as a VAT taxable entity to avoid excluding business opportunities.

11.3. Register as a qualified invoice issuer

Existing businesses can register as qualified invoice issuers between 1st October 2021 and 31st March 2023. The deadline has been extended to 30th September 2023 for suppliers if they want to issue Qualified invoices from 1st October 2023. The registration needs to be set up by the supplier more information can be found in the [Tax Agency website](#). Taxpayers need to follow the [process](#) of submitting a registration application ([foreign business](#) and [domestic business](#)) to local tax authorities. Upon the registration, the tax administration will give a registration number to the applicants.

Registration Number (T0123456789123)

- Business has a corporate number: T + corporate number¹¹
- Other businesses: T+ 13 digits

Once registered as an issuer, businesses are obliged to issue qualified invoices upon request and keep an invoice copy.

Tax-exempt businesses

Businesses purchasing from tax-exempt entities cannot claim the tax credit for consumption tax when the QIS is implemented.

However, a 6-year transitional measure (from October 2023 to September 2029) will allow businesses to deduct a certain percentage of the tax even if it is a taxable purchase from tax-exempt suppliers.

- From October 1, 2023, to September 30, 2026, 80% of the input tax amount
- From October 1, 2026, to September 30, 2029, 50% of the input tax amount

Tax-exempt businesses can choose to become a taxable enterprise from the date of registration if they are registered during the taxable period, including the day up to the 30th of the month with submitting the registration application form (they do not need to submit the "Consumption tax taxable business selection notification form").

¹¹ A corporate number is a 13-digit number that the NTA specifies for identifying a specific corporation or other organization for administrative procedures in the areas of social security, taxes, and disaster preparedness.

11.4. Content requirement comparison

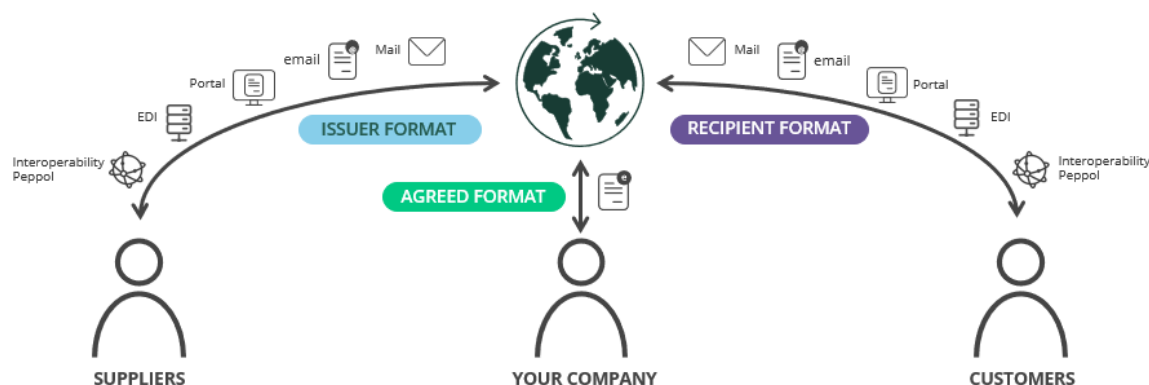
Classified Invoice	Qualified Invoice
Current - 30 September 2023	From 1 October 2023
• Full legal name of the issuer	• Full legal name of the supplier
• Transaction date	• Transaction date
• Description of the goods/services	• Description of the goods/services
• Total gross amount (including IT)	• Total gross amount (including IT)
• Full legal name of the customer	• Full legal name of the customer
• A statement clarifying Items subject to the reduced tax rate	• A statement clarifying Items subject to the reduced tax rate
• Total gross amount per rate	• Total gross amount per rate or total taxable amount per rate
	• Applicable rate
	• Total IT amount calculated per rate
	• Registration number



12. Country-specific processing

This section outlines how the Pagero General e-Invoicing process has been adapted to the local requirements to ensure compliant local processing.

12.1. Document issuance (AR) and reception (AP) with Pagero



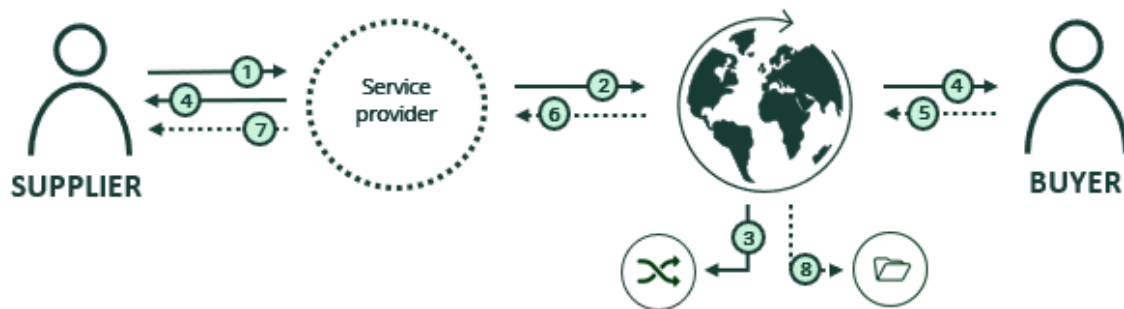
- 1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
- 2) PAGERO ensures the country-specific document content, document integrity and authenticity, as well as archiving requirements
- 3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms
- 4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, capturing / scanning, etc.

12.2. Interoperability (AR) with Pagero – Peppol



- 5) Supplier provides data in supplier preferred format to PAGERO
- 6) PAGERO performs i.a.
 - 1) content validation,
 - 2) content enrichment and conversion,
 - 3) document format conversion,
- 7) PAGERO returns the finalized e-invoice to the supplier
- 8) PAGERO sends the final e-document to the receiving service provider (RSP) / buyer in a legally predefined format and according to a legally predefined exchange protocol
- 9) RSP/buyer sends the received e-document to the buyer in buyer format
- 10)-8) Return communication from the buyer to the supplier, i.a. receipt acknowledgement, document approval or rejection, which could be optional or mandatory
- 9) PAGERO archives all relevant document on behalf of the supplier

12.3. Interoperability (AP) with Pagero – Peppol



- 1) Supplier provides data in supplier preferred format to the sending service provider (SSP)
- 2) SSP/supplier sends the final e-document to PAGERO in a legally predefined format and according to a legally predefined exchange protocol
- 3) PAGERO performs i.a.
 - 1) content validation,
 - 2) content enrichment and conversion,
 - 3) format conversion,
- 4) PAGERO sends the received e-document to the buyer in buyer format
- 5) -7) Return communication from the buyer to the supplier, i.a. receipt acknowledgement, document approval or rejection, which could be optional or mandatory
- 8) PAGERO archives all relevant document on behalf of the buyer



13. Closing statements

13.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

13.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.



Revision history

Date	What has changed
14 March 2021	Document moved to a new version, as well multiple minor updates and additions
19 April 2022	- Added section 11 and appendix 1&2 invoice samples - Updated section 5 and section 6
12 July 2022	Update section 6.4 - reverse charge mechanism
20 April 2023	Updated section 3 & 11.3: Extension for registration to issue Qualified invoices
11 August 2023	- Updated section 7, 10 and section 11 - Updated for ERRL

Appendix 1 Classified invoice

Rate-classified invoice (区分記載請求書):

- 1) Use symbols/numbers (※ or ☆) marking the item subject to a reduced VAT
 - the total amount of consideration (including tax) for each tax rate
 - indicate that the item is subject to the reduced tax rate to the footnote

請求書

株〇〇御中 XX年11月30日

11月分 131,200円(税込)

日付	品名	金額
11/1	小麦粉 ※ ①	5,400円
11/1	キッチンペーパー	2,200円
11/2	牛肉 ※ ①	10,800円
⋮	⋮	⋮
合計		131,200円
②	10%対象	88,000円
	8%対象	43,200円

※は軽減税率対象品目 ③

△△商事(株)

- 2) Group items by tax rate

請求書

株〇〇御中 XX年11月30日

11月分 131,200円(税込)

日付	品名	金額
11/1	米	5,400円
11/1	牛肉	10,800円
⋮	⋮	⋮
8%対象		43,200円
11/2	キッチンペーパー	2,200円
⋮	⋮	⋮
10%対象		88,000円
合計		131,200円

△△商事(株)

3) Issue separated invoice for items subject to reduced VAT

【税率ごとに区分記載請求書等を分けて発行する場合の記載例】

○ 軽減税率対象分

請求書		
(軽減税率対象)		
株〇〇御中		XX年11月30日
11月分 43,200円(税込)		
日付	品名	金額
11/1	米	5,400円
11/1	牛肉	10,800円
⋮	⋮	⋮
合計		43,200円
△△商事(株)		

○ 軽減税率対象分以外

請求書		
株〇〇御中		XX年11月30日
11月分 88,000円(税込)		
日付	品名	金額
11/2	キッチンペーパー	2,200円
⋮	⋮	⋮
合計		88,000円
△△商事(株)		

Appendix 2 Qualified invoice

Qualified invoice (適格請求書)

請求書

△△商事(株)
登録番号 T 012345...

(株)〇〇御中 ← ⑥

11月分 131,200円 ① × × 年11月30日

日付	品名	金額
11/1	魚 *	5,000円
11/1	豚肉 *	10,000円
11/2	タオルセット	2,000円 ③
...		
合計	120,000円	消費税 11,200円 ⑤
8%対象	40,000円	消費税 3,200円
10%対象	80,000円	消費税 8,000円

④ * 軽減税率対象

- 1) Name or title of the qualified invoice issuer and **registration number**
- 2) Transaction date
- 3) Transaction details (indicating that the item is subject to reduced tax rate)
- 4) Compensation amount totaled separately by tax rate (Excluding or including tax) and **applicable tax rate**
- 5) **Consumption tax amount categorized by tax rate**
- 6) Name or title of the business operator against whom the invoice is issued

* For transactions related to retail business, restaurant business, taxi business, etc., where sales are made to an unspecified number of counterparts, the "qualified simplified invoice" with simplified entry items may be issued.

Simplified Qualified invoice (適格簡易請求書)

② スーパー〇〇
東京都...
登録番号 T 123456... ①

XX年11月30日

領収書

ヨーグルト*	1	¥108
カップラーメン*	1	¥216
ビール	1	¥550
合計		¥874
8%対象		④ ¥324
10%対象		④ ¥550
③ * 軽減税率対象		⑤ ⑥
お預り		¥1,000
お釣		¥126

⑤ 適用税率又は消費税額等のどちらかを記載 ※両方記載することも可能

- 1) Supplier name and Registration number
- 2) Transaction date
- 3) Description of the goods/services (*Items subject to the reduced tax rate)
- 4) Amount of consideration divided per tax rate (Excluding tax or including tax) and **Applicable tax rate**
- 5) Consumption tax amount, etc. **OR** Applicable tax rate
- 6) ~~Buyer name~~

* In case the simplified tax system has been selected, the amount of tax payable will be calculated from taxable sales. Therefore, retention of a qualified invoice, etc., is not a requirement of the tax credit for consumption tax on purchases.